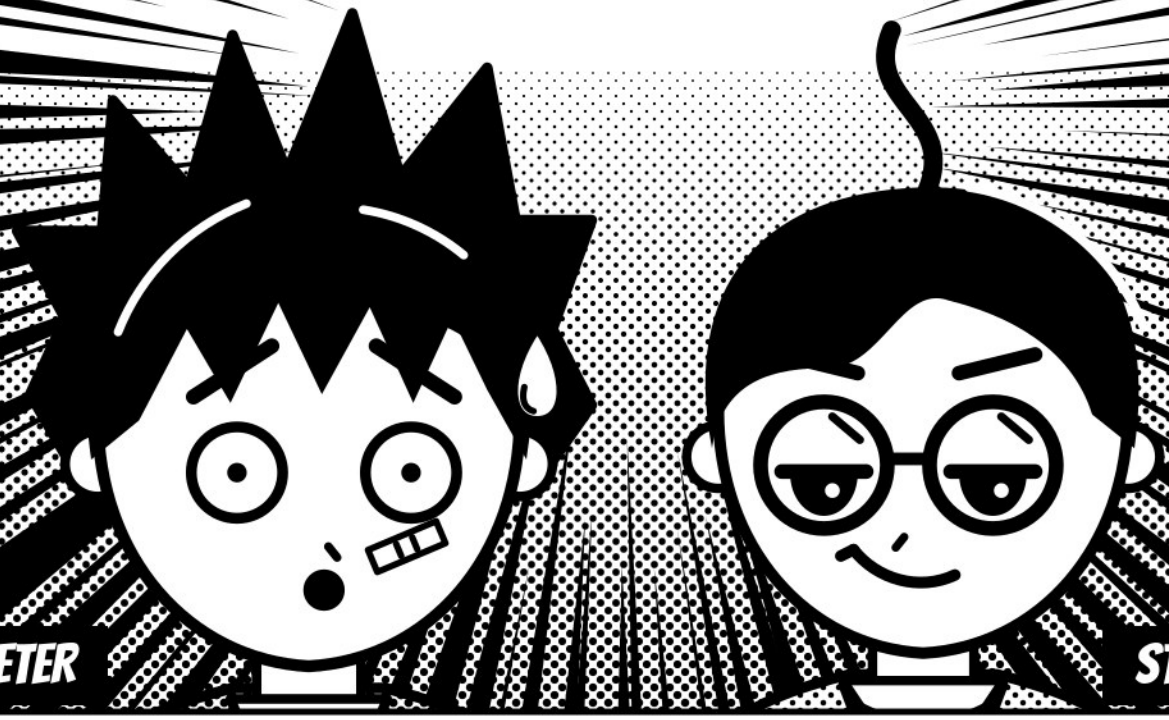
MONEY BRAINROT

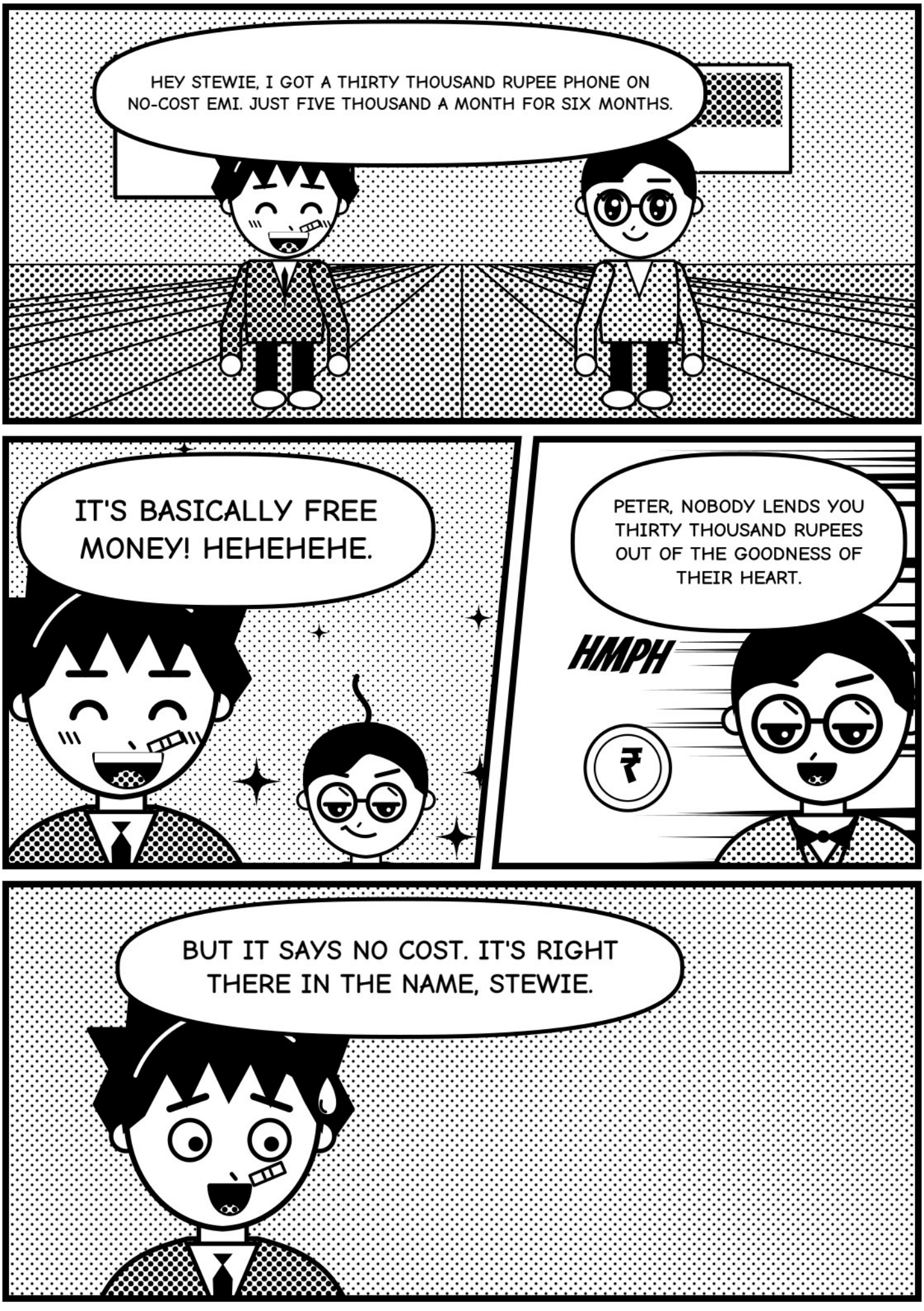
MODULE 1 · PLAN & BUDGET

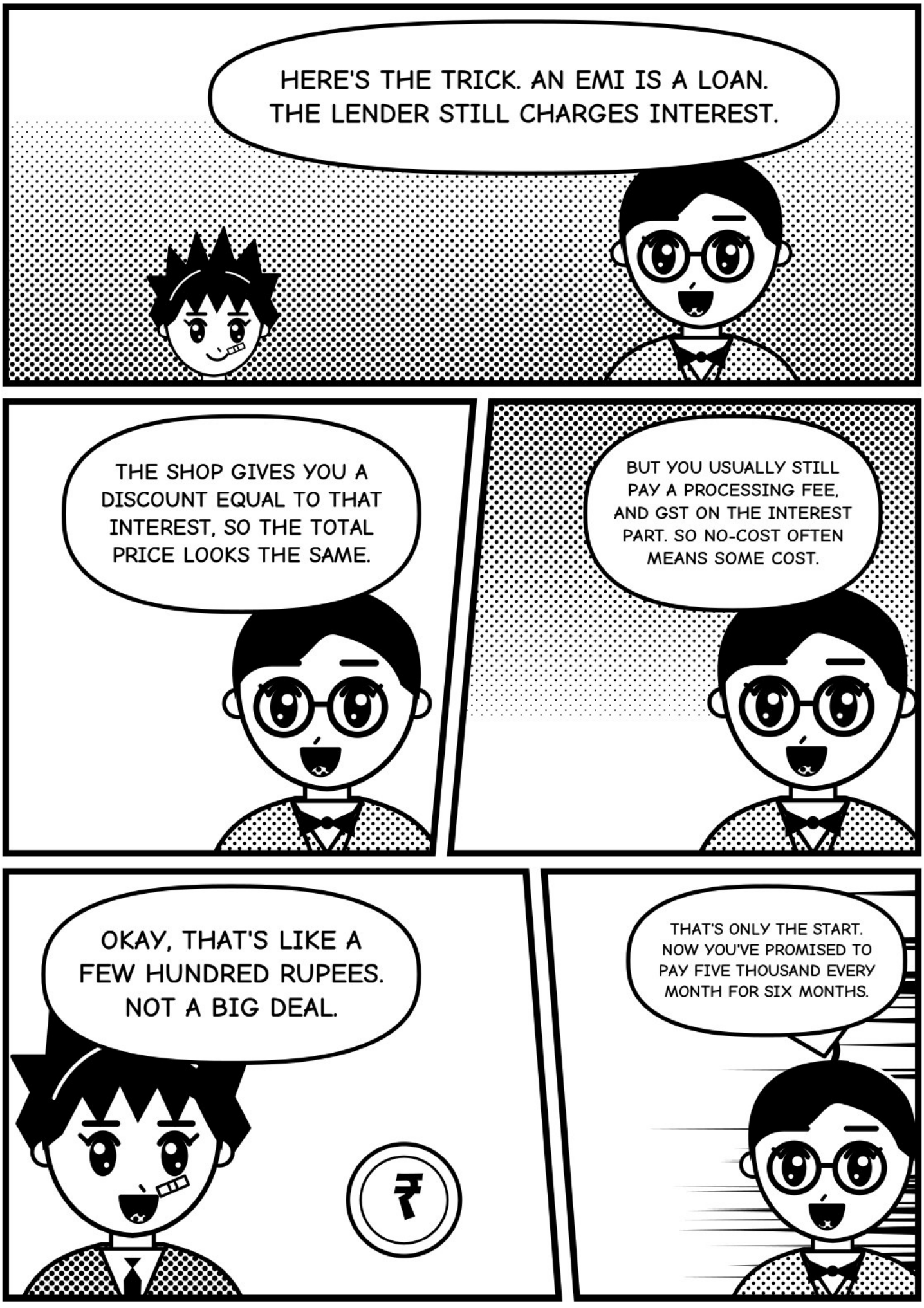
THE NO-COST EMI TRAP

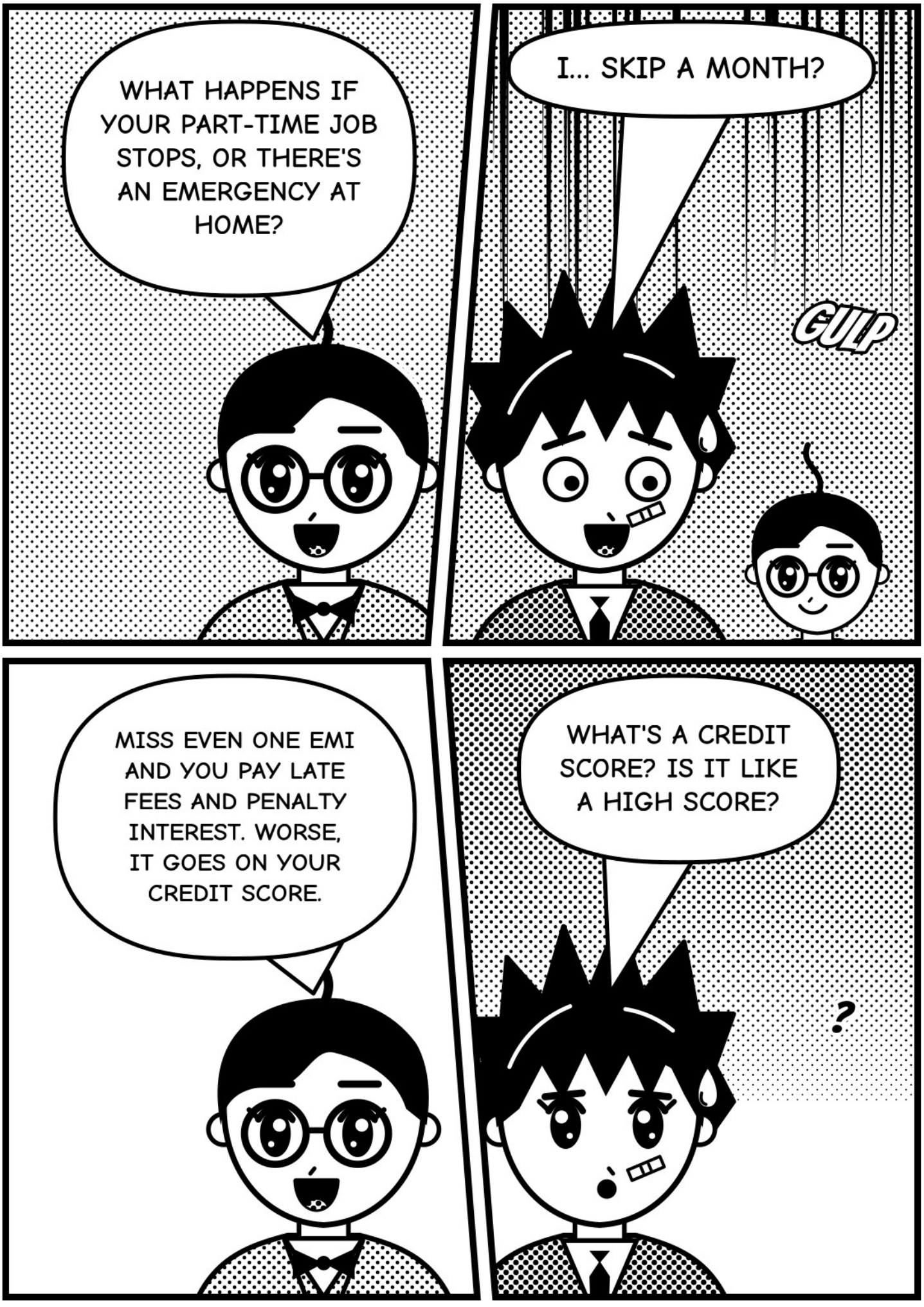
HARD MODE

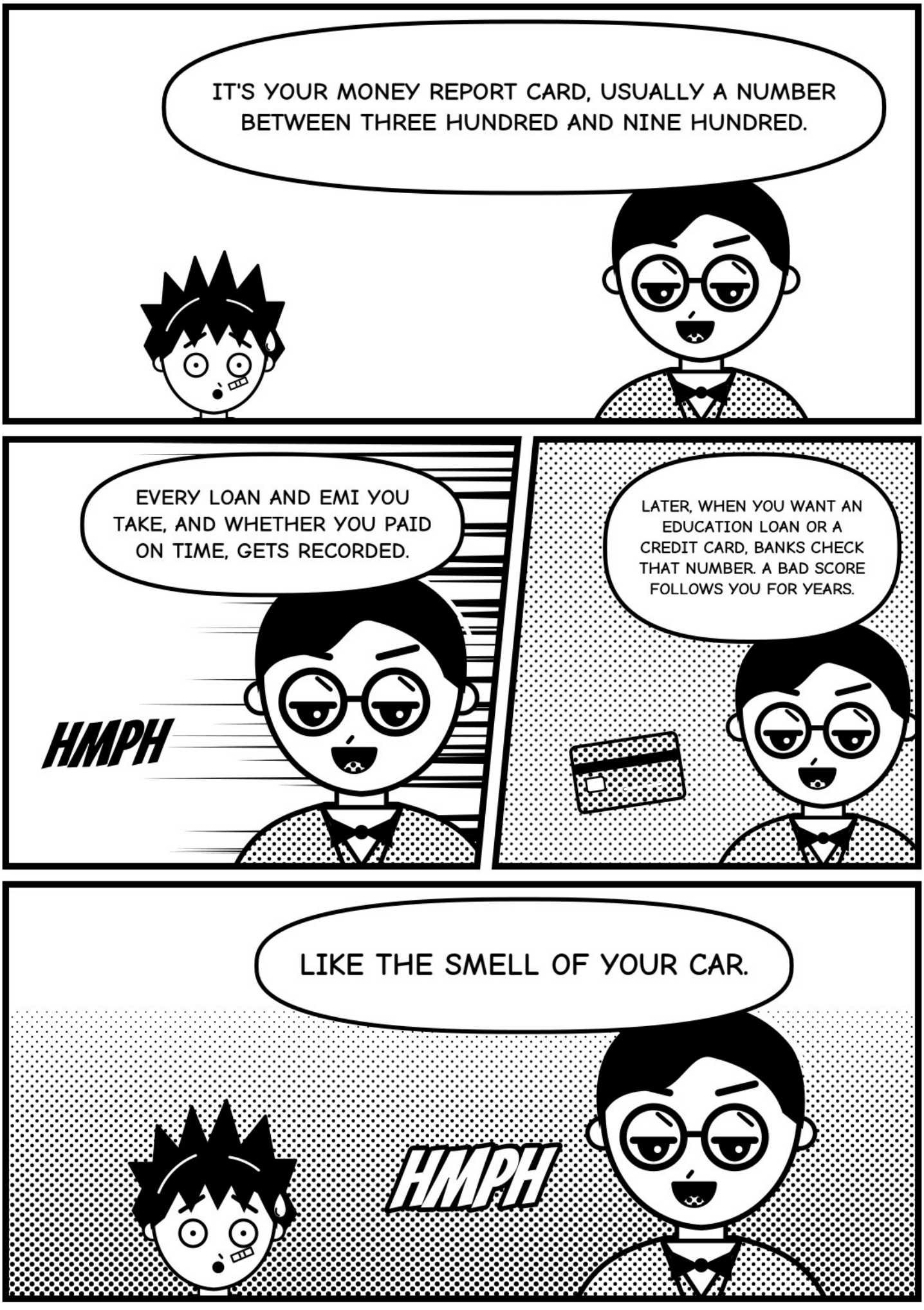


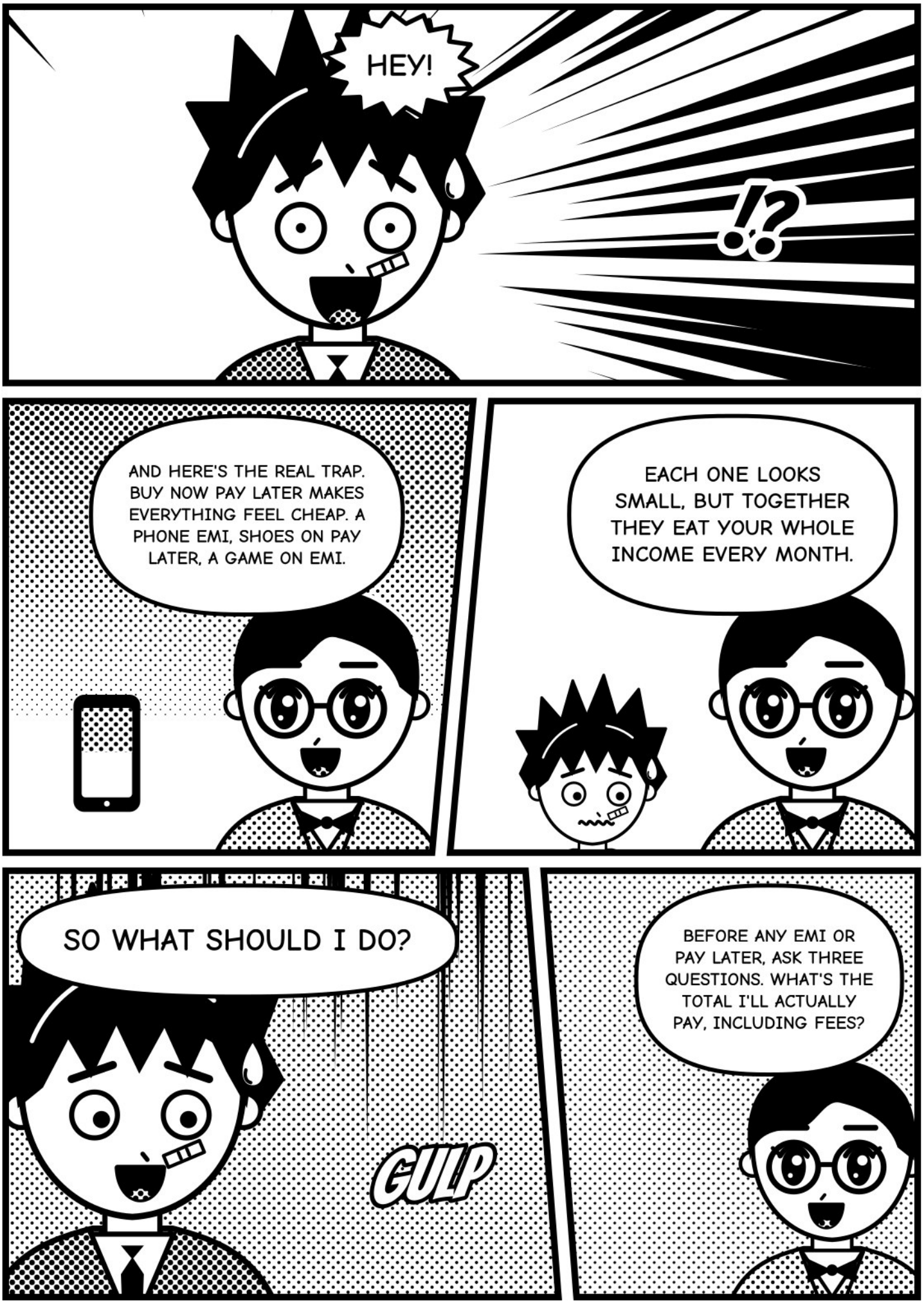
#NoCostEMI #BuyNowPayLater #EMITrap #HiddenCharges
#CreditScore #FinancialLiteracy #MoneyBrainrot

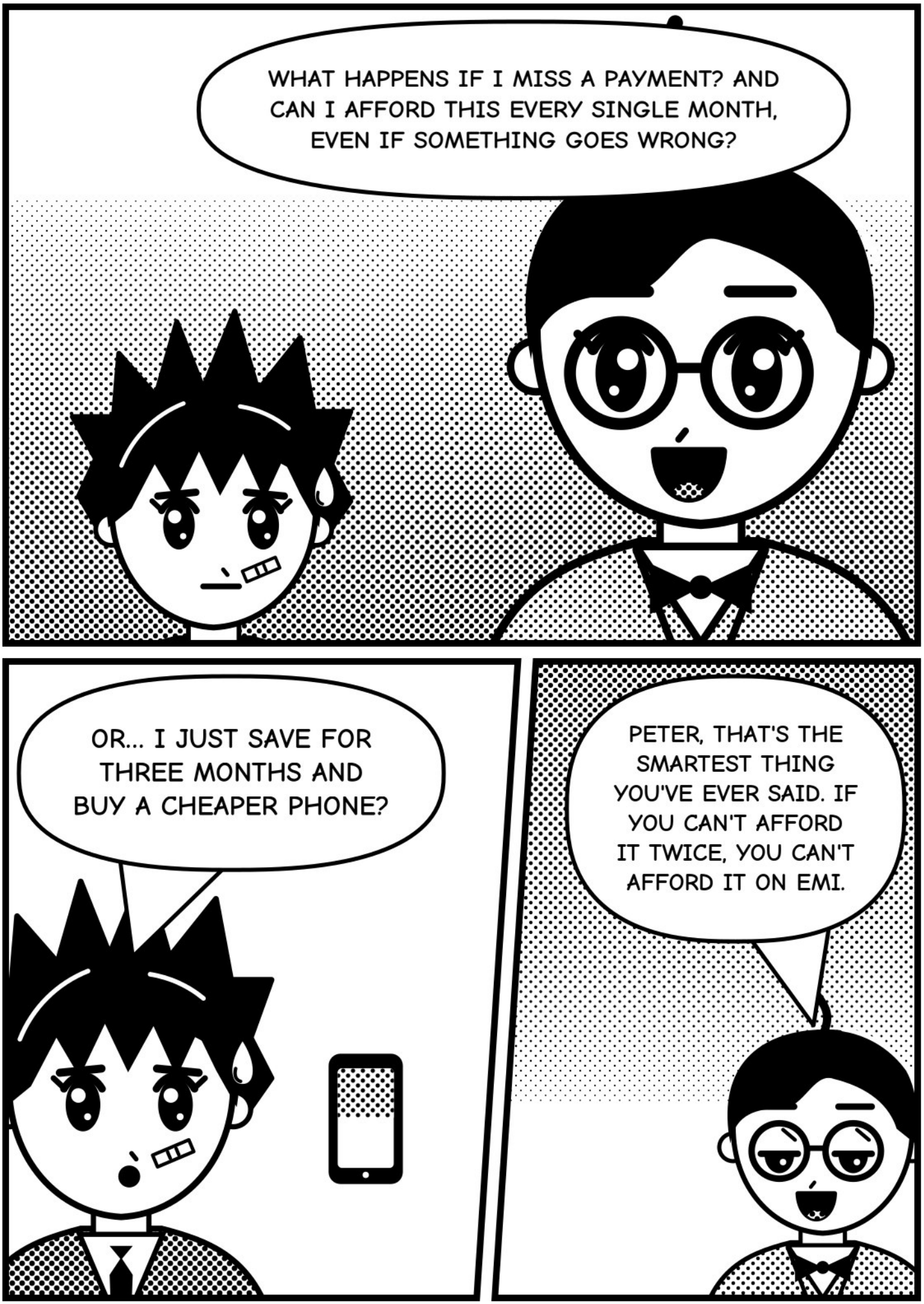

HEY STEWIE, I GOT A THIRTY THOUSAND RUPEE PHONE ON NO-COST EMI. JUST FIVE THOUSAND A MONTH FOR SIX MONTHS.
IT'S BASICALLY FREE MONEY! HEHEHEHE.
PETER, NOBODY LENDS YOU THIRTY THOUSAND RUPEES OUT OF THE GOODNESS OF THEIR HEART.
HMPH
₹
BUT IT SAYS NO COST. IT'S RIGHT THERE IN THE NAME, STEWIE.

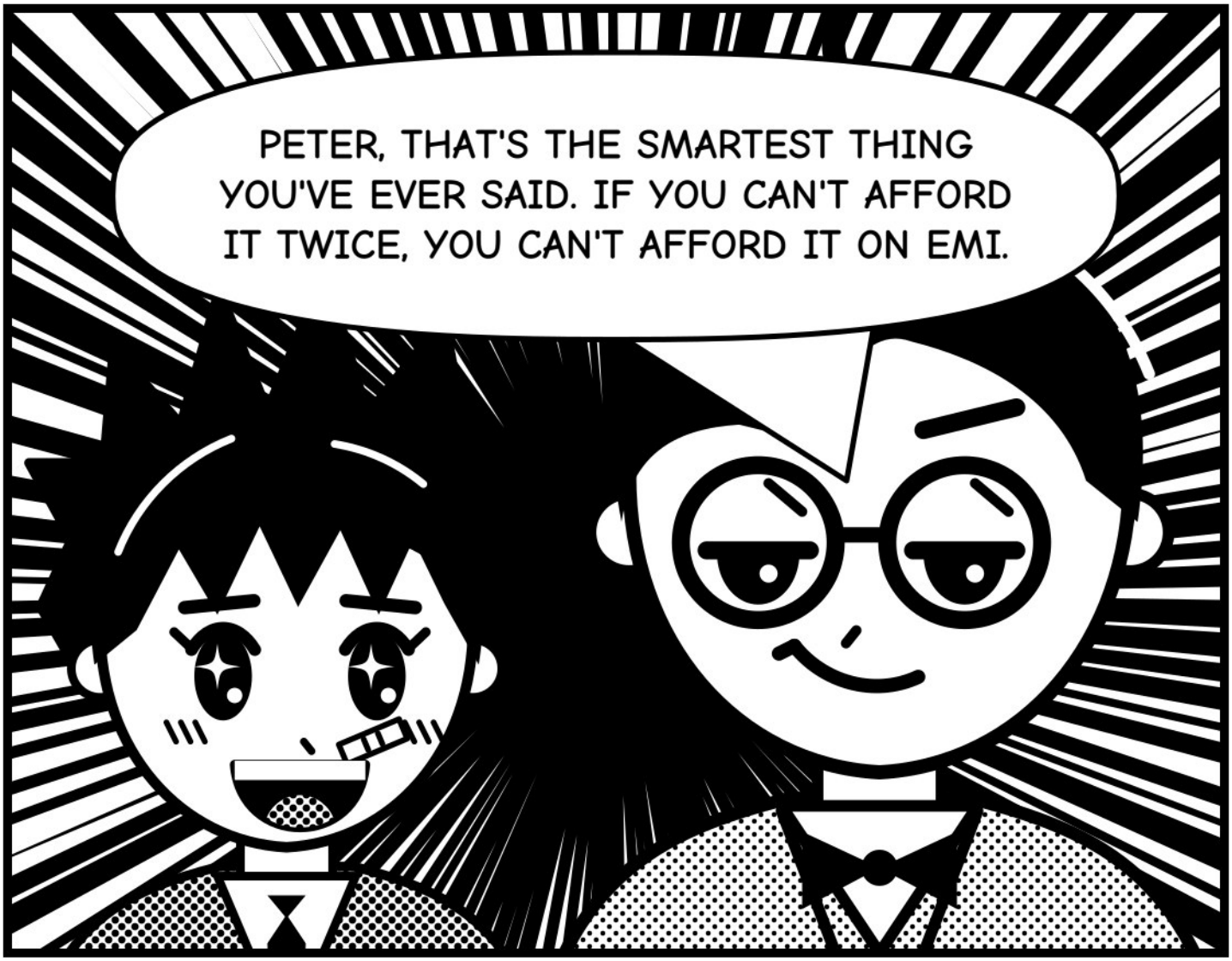

HERE'S THE TRICK. AN EMI IS A LOAN. THE LENDER STILL CHARGES INTEREST.
THE SHOP GIVES YOU A DISCOUNT EQUAL TO THAT INTEREST, SO THE TOTAL PRICE LOOKS THE SAME.
BUT YOU USUALLY STILL PAY A PROCESSING FEE, AND GST ON THE INTEREST PART. SO NO-COST OFTEN MEANS SOME COST.
OKAY, THAT'S LIKE A FEW HUNDRED RUPEES. NOT A BIG DEAL.
₹
THAT'S ONLY THE START. NOW YOU'VE PROMISED TO PAY FIVE THOUSAND EVERY MONTH FOR SIX MONTHS.


WHAT HAPPENS IF YOUR PART-TIME JOB STOPS, OR THERE'S AN EMERGENCY AT HOME?
I... SKIP A MONTH?
GULP
MISS EVEN ONE EMI AND YOU PAY LATE FEES AND PENALTY INTEREST. WORSE, IT GOES ON YOUR CREDIT SCORE.
WHAT'S A CREDIT SCORE? IS IT LIKE A HIGH SCORE?
?


IT'S YOUR MONEY REPORT CARD, USUALLY A NUMBER BETWEEN THREE HUNDRED AND NINE HUNDRED.
EVERY LOAN AND EMI YOU TAKE, AND WHETHER YOU PAID ON TIME, GETS RECORDED.
HMPH
LATER, WHEN YOU WANT AN EDUCATION LOAN OR A CREDIT CARD, BANKS CHECK THAT NUMBER. A BAD SCORE FOLLOWS YOU FOR YEARS.
LIKE THE SMELL OF YOUR CAR.
HMPH


HEY!
!?
AND HERE'S THE REAL TRAP. BUY NOW PAY LATER MAKES EVERYTHING FEEL CHEAP. A PHONE EMI, SHOES ON PAY LATER, A GAME ON EMI.
EACH ONE LOOKS SMALL, BUT TOGETHER THEY EAT YOUR WHOLE INCOME EVERY MONTH.
SO WHAT SHOULD I DO?
GULP
BEFORE ANY EMI OR PAY LATER, ASK THREE QUESTIONS. WHAT'S THE TOTAL I'LL ACTUALLY PAY, INCLUDING FEES?


WHAT HAPPENS IF I MISS A PAYMENT? AND CAN I AFFORD THIS EVERY SINGLE MONTH, EVEN IF SOMETHING GOES WRONG?
OR... I JUST SAVE FOR THREE MONTHS AND BUY A CHEAPER PHONE?
PETER, THAT'S THE SMARTEST THING YOU'VE EVER SAID. IF YOU CAN'T AFFORD IT TWICE, YOU CAN'T AFFORD IT ON EMI.



REMEMBER THIS

1. An EMI is a loan. 'No-cost' can still mean a processing fee and GST on the interest.
2. Miss an EMI and you pay late fees and penalty interest, and your credit score takes a hit.
3. Before any EMI or pay-later: What's the total I'll pay? What if I miss a payment? Can I afford it every month?
4. If you can't afford it twice, you can't afford it on EMI.